Investor pitch for Swiggy

by Ameya Sinha

Introduction

Swiggy is an **Indian online food ordering and delivery platform**. Founded in July 2014, Swiggy is based in Bangalore and operates in 500 Indian cities as of September 2021. Besides food delivery, Swiggy also provides on-demand grocery deliveries under the name Instamart, and a same-day package delivery service called Swiggy Genie.

<u>Vision statement:</u> "Our mission is to elevate the quality of life for the urban consumer with unparalleled convenience. Convenience is what makes us tick. It's what makes us get out of bed and say, "Let's do this."

For this exercise, I will follow the given approach:

- Decide upon the objective
- Personas identification and prioritization
- Generic user flow
- Pain points identification and prioritization
- Listing solutions and prioritization
- Wireframes
- Go-to-market strategy
- Metrics identification

Objective

Since this is an investor's pitch, the goal should be a feature or enhancement that adds logically to Swiggy's existing offerings and is a potential revenue generator for the company

<u>Constraints -></u>

- Target food ordering personas only, not the other stakeholders of the platform (delivery partners, restaurant owners)
- Consider only the free services of the application (Do not consider Swiggy One)

Competitive landscape and benchmarking

The food delivery business in India is a duopoly with Swiggy and Zomato fighting closely for market share, at the same time targeting profitability through multiple offerings and increasing efficiency in their processes

	zomato	SWIGGY
Restaurant Partners (Feb 2022)	**390000**	**128000**
MAU (Feb 2022)	**32 million**	**20 million**
Revenue (FY22)	**4192 crore**	**5705 crore**
Profits (FY 22)	**-1222 crore**	**-3628 crore**
Dining Offering	**Zomato Gold Dining**	**DineOut**
Grocery	**Blinkit**	**Instamart**
Subscriptions	**Zomato Gold**	**Swiggy One**
Special Services	**Zomato Legends, Zomato UPI**	**Swiggy Genie**

Zomato is focussed on building an end-to-end food delivery and dining experience, whereas Swiggy sees its delivery network as its strength to provide convenience to its customers

With the introduction of ONDC in this arena, there might be some temporary challenges for both players to face. But focussing on core competencies (food/delivery) and customer service can give these players a higher ground over the government backed initiative

Sources: https://www.indmoney.com/articles/stocks/zomato-vs-swiggy-who-is-winning

User segmentation

Let us segment the population of India into different age brackets

User segment	Age bracket	Percentage of total population	Food ordering apps usage	Constraints of food ordering apps usage
Children	0-16	30%	Not an ideal target group, as they do not directly order food; their parents do.	• Not the primary decision makers in household • No personal income
Students	17-22	15%	One of the most active users of food ordering apps.	• No steady income, leading to wealth consciousness
Independent working class	23-30	15%	One of the most active users of food ordering apps	• Health consciousness • Wealth consciousness
Living with Family	31-60	30%	Occasional users, usage frequency cannot be increased due to the psychological need to set examples for younger generation	• Health consciousness • Psychological constraints
Retired	61+	10%	Not an ideal target group, less in number and they are not avid users of food ordering apps	• Not very tech savvy • Prejudiced against ‘outside food’

The most active user groups should be analysed first for pain points that could be tended to. This group constitutes users who are most likely to adopt new offerings and provide quickest returns, if the product-market fit is established

User personas

Rishabh, age 27 (Independent Working Class)

- Has a decent paying job in a tier 1 city
- Lives solo in a rented 1 BHK
- Leaves for his office after preparing himself a breakfast, has lunch in office

User behaviour regarding food consumption:

✓ Has lunch in the office cafeteria or uses food delivery apps
✓ Limited energy/bandwidth to cook dinner after work and resorts to ordering food online
✓ Is conscious of the fact that he spends a lot more in ordering vs getting food cooked at home

Ordering food vs going out to eat: 80-20 distribution

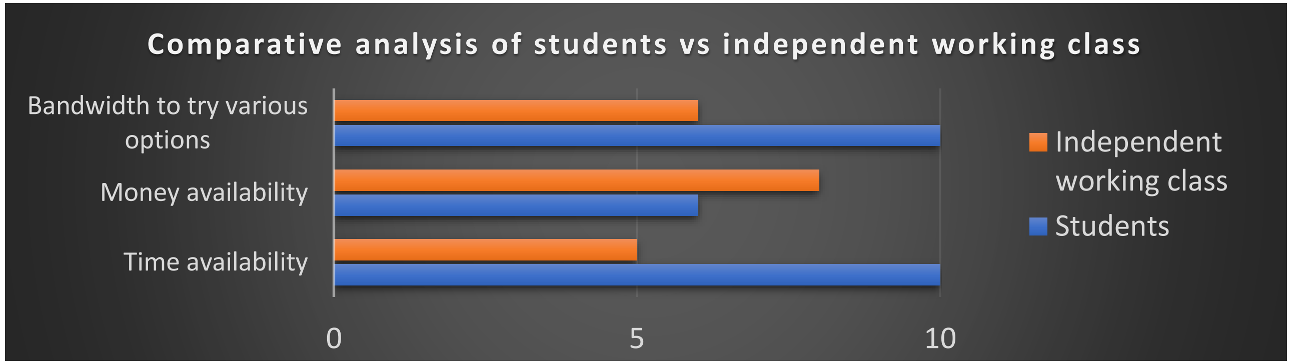
Divya, age 20 (Student)

- Student at Delhi University, lives as a Paying Guest near university premises
- Has multiple friend groups

User behaviour regarding food ordering:

✓ No fixed eating schedule
✓ Hangs out with friends at the food hotspots/stalls/tapris around the university area
✓ Receives monthly allowance from parents, has limited budget
✓ Orders out whenever not feeling like going out or when burdened with college work

Ordering food vs going out to eat: 20-80 distribution



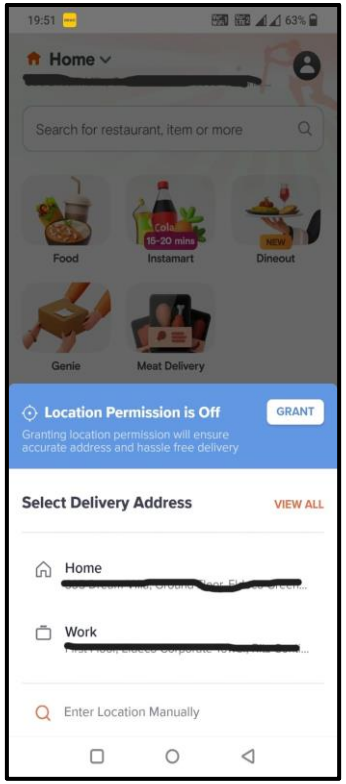
Intensity vs Frequency of issues

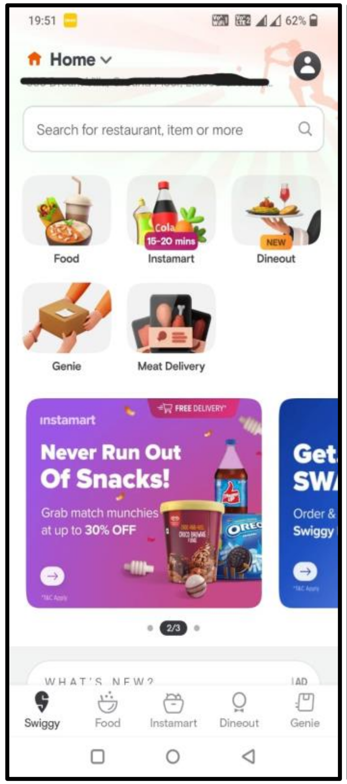
Intensity of issue for independent working class is greater than for students as students are more flexible with their time and bandwidth to check new options online or offline, but the independent working class is not.

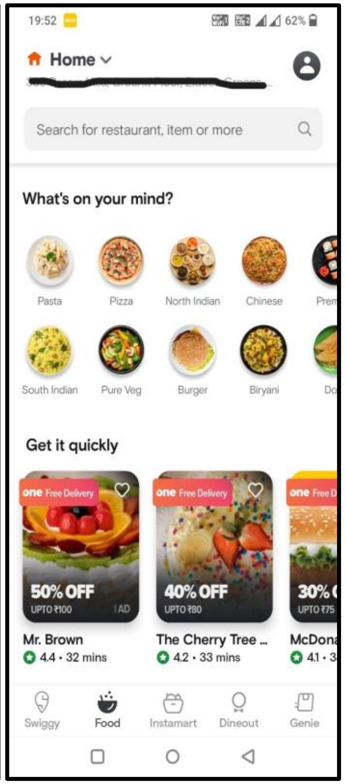
Frequency of issue for independent working class is greater than for students as it is almost a daily problem for people who have irregular/long work hours

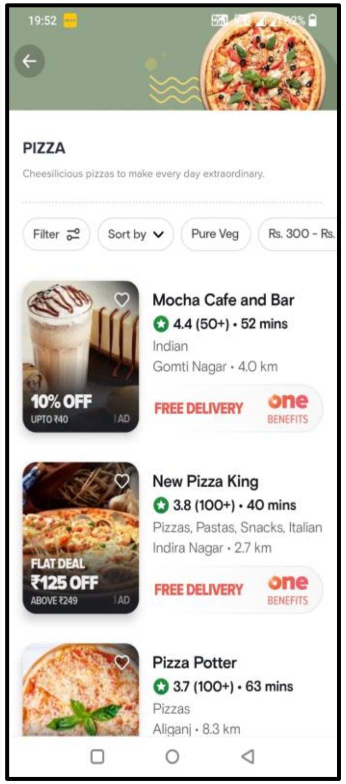
It makes sense to target users like Rishabh who have more urgent, unresolved pain points that can be possibly solved by Swiggy.
Hence, moving forwards, we will try to detail out the pain points of the independent working class and solve them

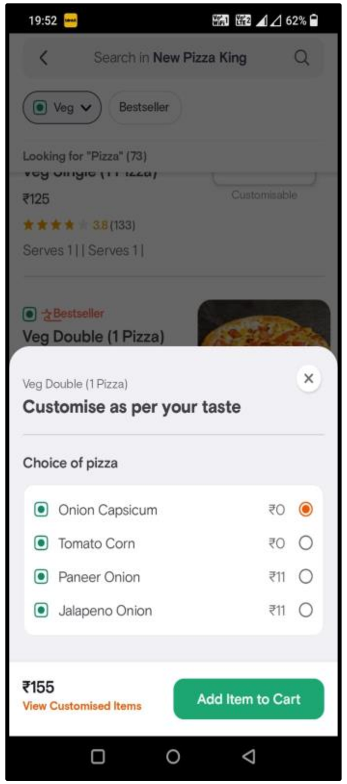
User flow for an existing regular user

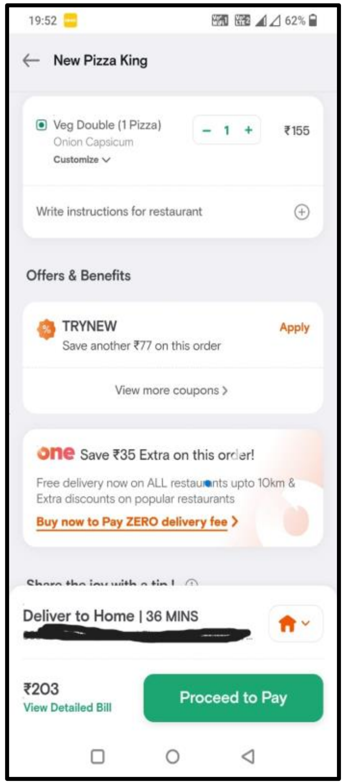


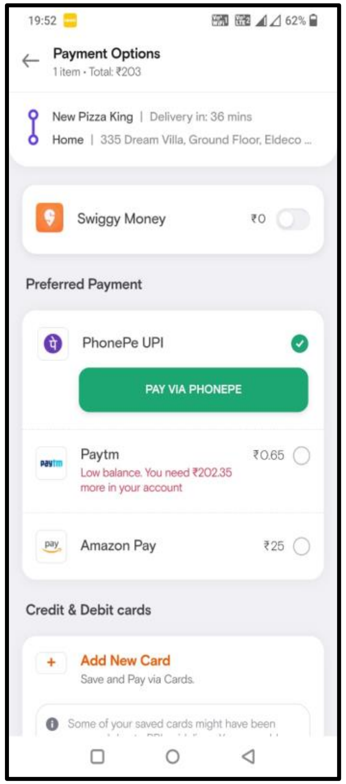












1. Location access:
If the location access is not turned on, an existing user has to either turn the location on or set the location to one of their saved addresses

2. Choosing the service:
The user has to select the service type he wants to opt from food, grocery, genie, etc

3. Selecting the restaurant/food category
User has to select the restaurant or food category that (s)he wants to order from. This is the first of the 2 most time taking parts of the user flow

4. Selecting the item
After zeroing down on the restaurant, user has to select the final items they are going to order and add them to cart individually

5. Customization of items
In cases where it is applicable, user has to customize the order from the various options available

6. Delivery instructions and applying offers
User adds special cooking instructions and goes through applicable offers on the order for discounts/benefits

7. Final payment
Selecting the payment mode and going through the steps to complete payment for the order

Psych rating	- 5 psych	+ 5 psych	- 10 psych	- 10 psych	+ 5 psych	+ 5 psych	- 5 psych
Time share	5%	5%	30%	20%	10%	10%	20%

Pain points

I will go through the user journey listed on the previous slide to point out common points for a regular app user. It should be noted that most problems originate because of the repeated usage of the platform on a regular basis.

Pain points	Severity of issue (1 : lowest, 5 : highest)
Have to start with setting the location every time if the location of the phone is not turned on	★
Have to explore multiple restaurants and food options every time they want to order	★★★★
If they like a particular food option customised a certain way, they have to specify the customisation every time they order the item	★★
Have to repeat special delivery instructions or directions to reach the address (if required) for every order	★★
Go through the checkout process and payment for every order	★★★

The most time taking and monotonous part of the food ordering process is **selecting the food category/restaurant and then the food item to be ordered**, because **users have to spend time to think of new food items to order every time**. The *paradox of choice is the root cause, which should be tackled by our solution*

<u>Jobs To Be Done:</u>

When I need to order food regularly ***but*** I do not want to deal with the pain and time input into searching a restaurant/food for every instance, ***help me*** to avoid this repetition, ***so that*** I save time and mental bandwidth

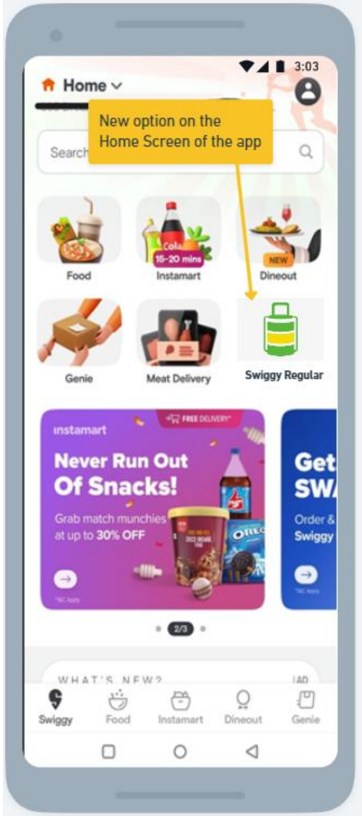
Solutions

Reach, Impact and Confidence should be as **high** as possible and Effort should be as **low** as possible. Solution having the highest **(R*I*C)/E** value will be prioritised over others

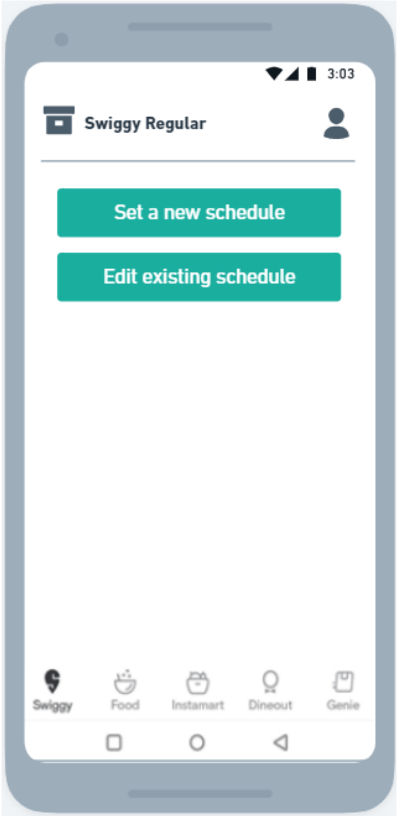
Solution	Features for MVP	Drawbacks	Reach	Impact	Confidence	Effort	Total
 **Swiggy Regular**	New functionality in the app which gives user the ability to **set food schedule for a defined number of days**. Options available to user will be: • Set food items and restaurants that they want to order against each day at the start of the week or month, this can be edited as per requirement • Set the time to receive food everyday • Combined payment for multiple orders **(This feature will save 20% time share of the user flow for each fulfilled order)** ***All the maximum negative psych steps in the user journey are focussed by this approach.***	• **High price points may still be a problem**, can be solved through special discounts or menu items for Swiggy Regular users • Combined payment for weeks' worth of orders may result in huge user credit (liability for company), so we can start with advance payment and move to post service payment option for repeat customers	**8**	**8**	**7**	**6**	**74.67**
 **Tiffin service**	**Tie up with the tiffin services available in the city**. The app would provide an interface where **the tiffin service providers can list the menu options and users can choose from among them**. This solution **solves both the choice paradox and the price issues**	• Not available everywhere • **Scaling up the tiffin service providers due to increased order volume will be a challenge**	**6**	**9**	**6**	**8**	**40.50**
 **Surprise me!**	The user can set preferred restaurants and food items and the **app chooses a random item and restaurant from the list to add to cart every day**	The chances of food randomizer coming up with a choice that a user really wants to eat in a given instance is **very subjective, and may not be very successful**	**9**	**5**	**5**	**5**	**45.00**

Wireframes

"Swiggy Regular"

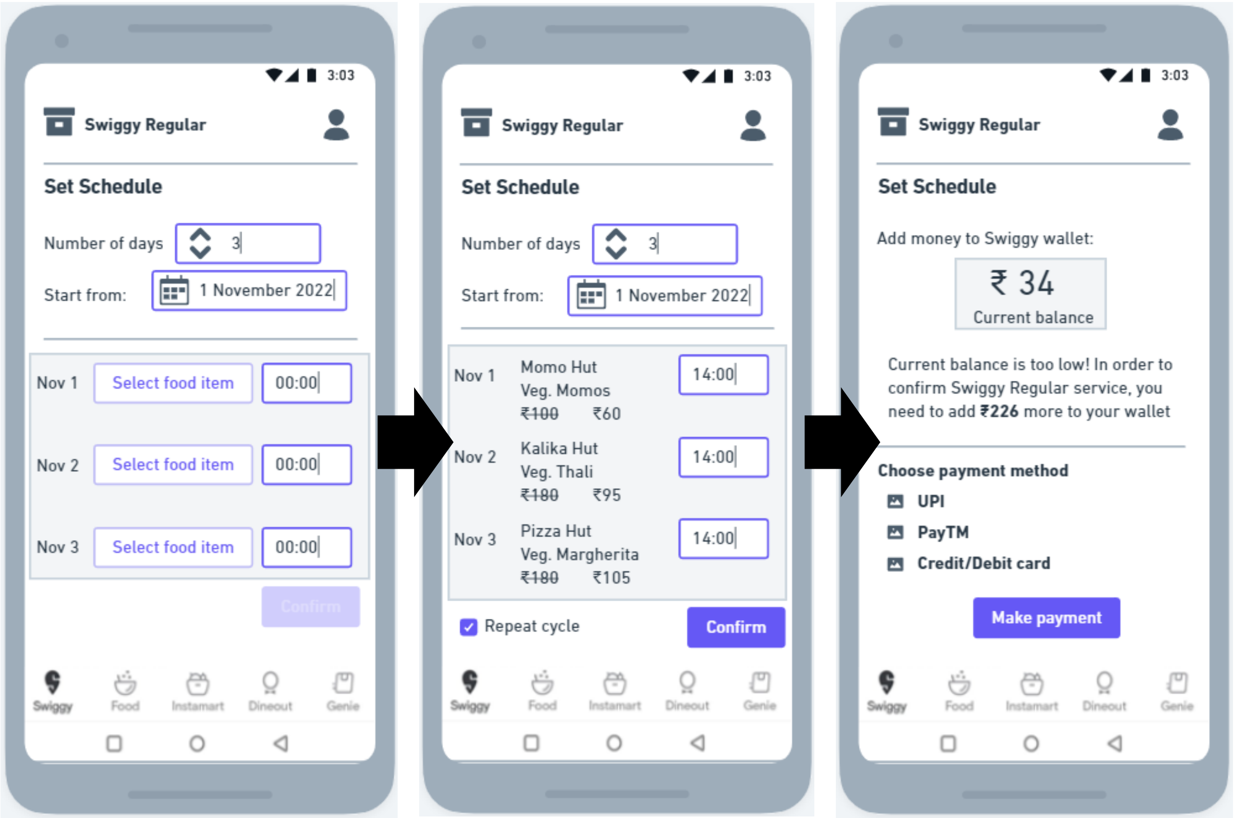


There will be a **new** option for **Swiggy Regular** services in the Home page that opens up by default



Inside the Swiggy Regular section, there will be option to

1. **Set a new schedule**
2. **Edit existing schedules**



1. Set a new schedule

There will be a **threshold number of days (5-7) for an order to qualify for Swiggy Regular.** This will ensure that the **discounted rates that the customer enjoys is compensated by the LTV s(he) provides to the company**

Multiple schedules can be set simultaneously

User flow:

1. Set the number of days for schedule
2. Set the starting date
3. Set food items and time of ordering for each day
4. User can tick the **Repeat Cycle checkbox** in order to continue the defined cycle once the current one ends

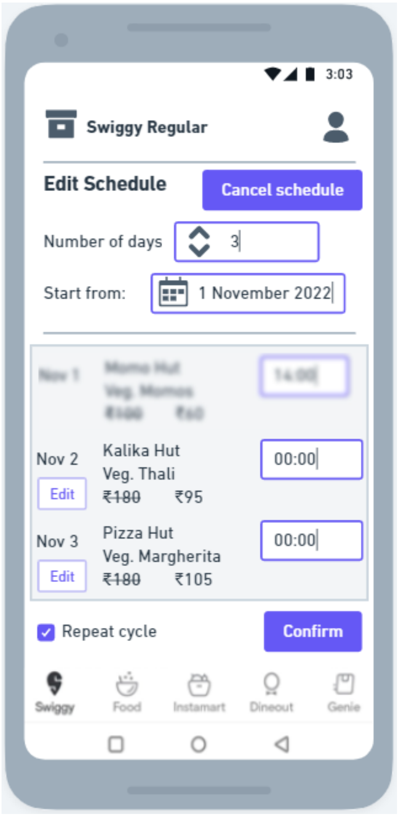
User will see the discounted price they get for this option as compared to normal ordering

Payment:

Advance payment can be arranged through **adding money in Swiggy wallet**, money **will only be deducted after each order is successfully delivered**

2. Edit schedule

Options for user to **cancel/modify their existing schedules.** The orders **already executed will not be editable**. For example, below is the screen for a user who is trying to edit schedule on 2nd November 2022 (before the restaurant receives order)



Metrics

North Star Metric: Revenue from Swiggy Regular

Category	L1 Metric	L2 metric
Discovery	CTR of new feature on Home screen	% share of Swiggy Regular being clicked compared to other options on Home page
Adoption	Weekly # of schedules set	Average % of schedules completed (***to keep a tab on cancellations before completion of a schedule***)
Engagement	Average time spent in the 'Swiggy Regular' section per user, WAU, DAU	• Average number of schedules per user • Hourly distribution of Swiggy Regular orders during the day (***will denote which times of the day are popular for this option***)
Revenue	Weekly cart value, Average Revenue per User	Average User wallet split between normal orders and Swiggy Regular orders
Retention	Monthly repeat schedules per user	Net CTR of Repeat cycle checkbox (***= positive clicks-negative clicks***)

Go-to market strategy

Pre launch

Objective: *Ensure product-market fit (PMF) with the chosen target group*

- Train internal teams (e.g.: customer support on the new offering)
- **Establish metrics** that would be under surveillance to signal smooth onboarding and engagement of users
- Establish a **beta release for a chosen cohort of users. UX and in-app behaviour can be tracked using tools like heatmaps.** Track the metrics for **estimated vs actual values**
- Monitor user feedback and reported bugs and inculcate it before the final launch of the product
- Conduct **PMF surveys**
- **Promotion:** Notifications to target cohorts will be sent on pre-set timings (e.g: lunch/dinner hours)

During launch

Objective: *Ensure smooth launch, feature discovery, and engagement of feature at scale*

- The identified target groups should be made aware of the new feature through **notifications, in-app popups** about the use cases of the new feature
- A run-through of the steps should be provided in-app to make the onboarding simpler
- Features to be **A-B tested can be tested at scale** and feedback collected
- The **discovery and engagement metrics should be specially paid attention to**

Post launch

Objective: *Continuous feedback from app usage through established channels. Agile deployment of improvements and bug fixes*

- PMF surveys on larger groups
- **NPS scores** to be measured and evaluated
- The **retention and health metrics should be paid attention to** as the product begins to scale and reach critical mass
- Reported bugs should be fixed in **shorter sprint cycles till a stable version exists in the market**
- Adequate customer support should be available

Thank you!

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